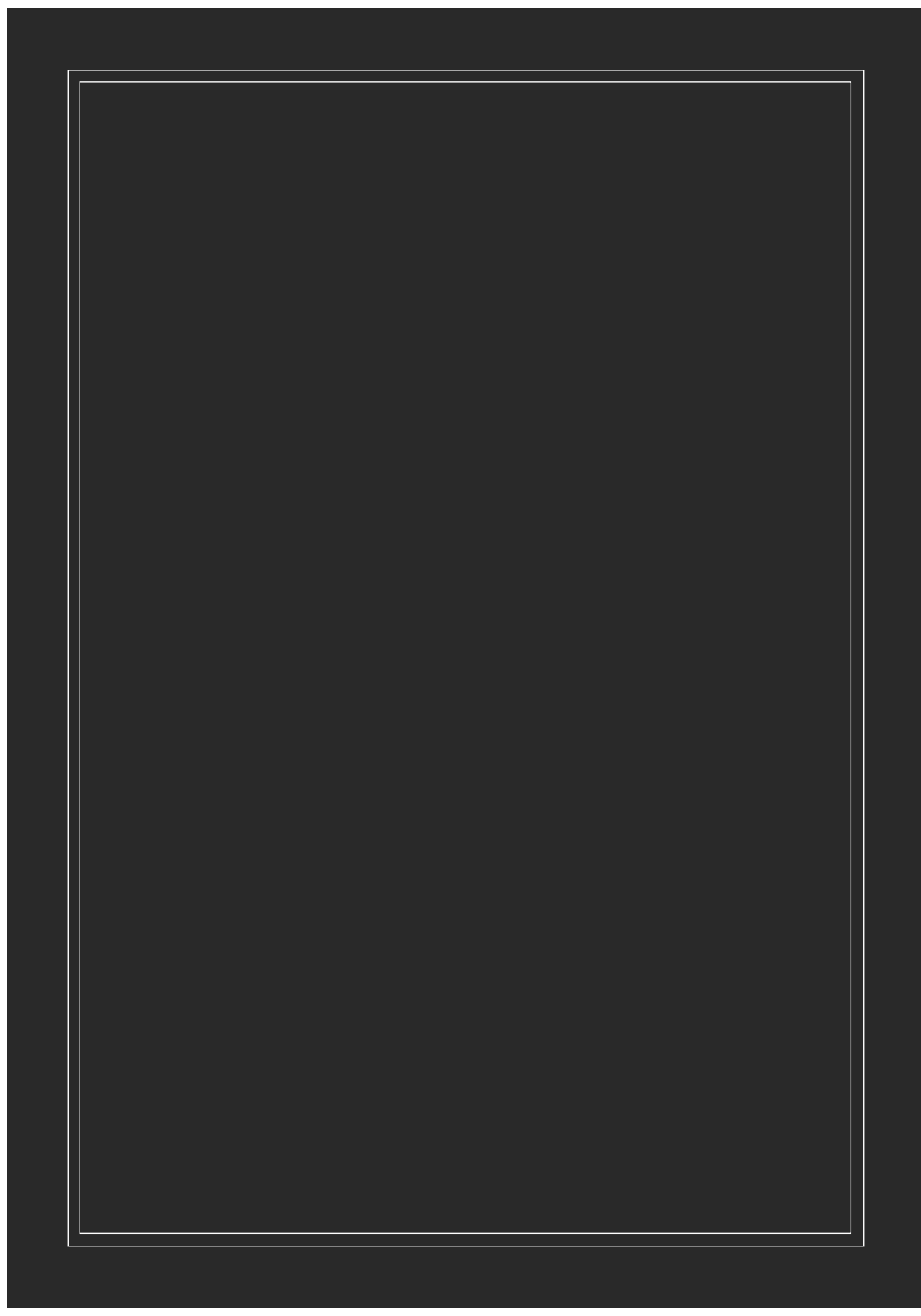


THE ELEMENTARY PRACTICES AND
PRINCIPLES OF ACCOUNTING

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KUTUSH KUMAR, KUTUM PAKHI



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TO THE READER

This book is written for readers who are meeting the subject for the first time. It assumes no earlier knowledge. Every new word is explained when it first appears, and the book moves slowly wherever an idea is new or difficult.

Beside most paragraphs you will find a note in the narrow column at the edge of the page. A note in italics gives the main point of the paragraph in one line. Read these notes first to see the shape of a chapter, and again when you review.

A word in **bold type** is a new term. It is shown in bold once, where it is first explained, and its meaning is repeated in the narrow column. After that the word appears in ordinary type. Italics are used for emphasis, for foreign words and for the titles of books.¹

Where an everyday word has a special meaning here, a note marked "Word in use" says so. Where an idea is both new and hard, a note reads "Go slowly here", and the text slows down with it.

HOW A CHAPTER RUNS

A chapter opens with a puzzle, then builds its ideas one section at a time. Each section ends with a short recap. The chapter closes with a summary, a problem to think through, the common mistakes people make, a true account from history, and review questions. Questions are numbered, such as 7.1, and their answers are collected at the back of the book.

When a chapter points to another part of the book, it names the chapter and the section, for example Chapter 3, section 3.2. Use the Contents to find it. At the back you will find a glossary of every term, the answers to the questions, a list of further reading, and an index.

This book teaches The Elementary Practices and Principles of Accounting one idea at a time, from the very beginning.

The narrow column beside the text holds short notes.

Key term. A new word, shown in bold where it first appears, with its meaning in one line.

A bold word is a new term, and its meaning waits beside it.

Some everyday words have a second, special meaning in this subject.

Each chapter has the same shape, so you always know where you are.

Chapters refer to one another by name, never by page.

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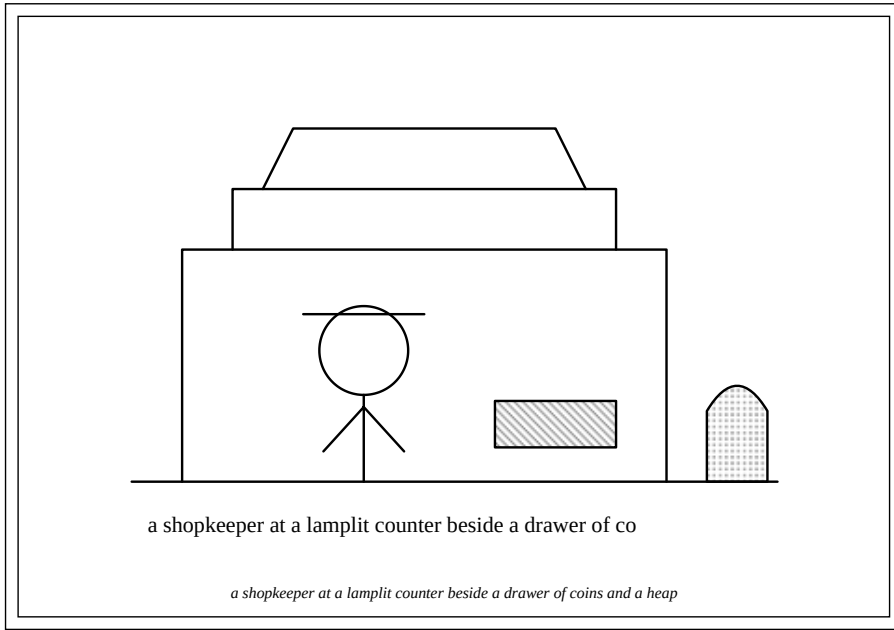
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¹ A footnote gives a side point that would interrupt the main argument. Footnotes are numbered within each chapter and appear at the foot of the page.



CHAPTER I

Business, Money and Records

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

The term **Manufacturing firm** means a business that makes goods from materials and then sells them. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Sole trader** means one person who owns and runs a business and is personally responsible for its debts. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Partnership** means a business owned by two or more people who agree to share its profit. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Company** means a business that the law treats as a separate person, owned through shares. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In Everyday Money and the Need for Records, we begin with money in and money out rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Everyday Money and the Need for Records, we begin with why we keep records rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Everyday Money and the Need for Records, we begin with memory is not a record rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees

Manufacturing firm. a business that makes goods from materials and then sells them

Manufacturing firm names one specific idea needed here.

Sole trader. one person who owns and runs a business and is personally responsible for its debts

Sole trader names one specific idea needed here.

Partnership. a business owned by two or more people who agree to share its profit

Partnership names one specific idea needed here.

Company. a business that the law treats as a separate person, owned through shares

Company names one specific idea needed here.

Money in and money out starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Why we keep records starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Memory is not a record starts with a concrete question.

The procedure keeps the idea tied to the facts.

CHAPTER XV · PLANT ASSETS AND DEPRECIATION

15.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

15.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

15.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

15.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER XVI · NON-TRADING CONCERNS AND PARTNERSHIP ACCOUNTS

16.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

16.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

16.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

16.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER XVII · PARTNERSHIP LIQUIDATION

17.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

17.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

17.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

17.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER XVIII · COMPANY ACCOUNTING AND SHARES

18.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

18.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

18.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

18.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

the three kinds of firm side by side, with what each on

FIG. 1.2. the three kinds of firm side by side, with what each one sells

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

1.3 SERVICE, MERCHANDISING AND MANUFACTURING FIRMS

In Service, Merchandising and Manufacturing Firms, we begin with three kinds of firm rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Service, Merchandising and Manufacturing Firms, we begin with materials and finished goods rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting

A changed situation tests whether the rule has been understood.

The figure shows the same relationship in a compact visual form.

Three kinds of firm starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Materials and finished goods starts with a concrete question.

The procedure keeps the idea tied to the facts.

05.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

05.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER VI · JOURNAL AND LEDGER

06.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

06.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

06.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

06.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER VII · THE TRIAL BALANCE AND THE ACCOUNTING CYCLE

07.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

07.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

07.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

07.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER VIII · ADJUSTING THE ACCOUNTS

08.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

08.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

08.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

08.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER IX · THE WORKSHEET

09.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

09.t2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

09.r1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

09.r2 Identify the relevant fact, apply the stated rule, and check the result against the other records.

CHAPTER X · CLOSING THE BOOKS

10.t1 Identify the relevant fact, apply the stated rule, and check the result against the other records.

system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. In December 2021 Karim Meghna, a bookbinder in Mirpur, Dhaka, decided to open a binding and repair workshop. On 2 January 2022 the workshop opened, with his sons Imran and Rafi helping. Until the end of the first week Karim kept loose notes in a shoebox: 31 paper slips, no dates on 9 of them. At the end of week 1 he could not tell whether the shop had earned a profit. Karim's own savings were the only money put into the business. No other figures are used in this chapter.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

SUMMARY

Business, Money and Records is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

A changed situation tests whether the rule has been understood.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The chapter can be reduced to a small set of working rules.

Transposition error. a mistake in which two digits of a number are written in the wrong order The chapter example shows how the term is used in practice. (Chapter VII)

Trial balance. a list of all ledger account balances showing that total debits equal total credits The chapter example shows how the term is used in practice. (Chapter VII)

Unearned revenue. money received before the work is done, held as a liability until the work is performed The chapter example shows how the term is used in practice. (Chapter VIII)

Units-of-production method. a method that charges depreciation in proportion to how much the asset is used The chapter example shows how the term is used in practice. (Chapter XV)

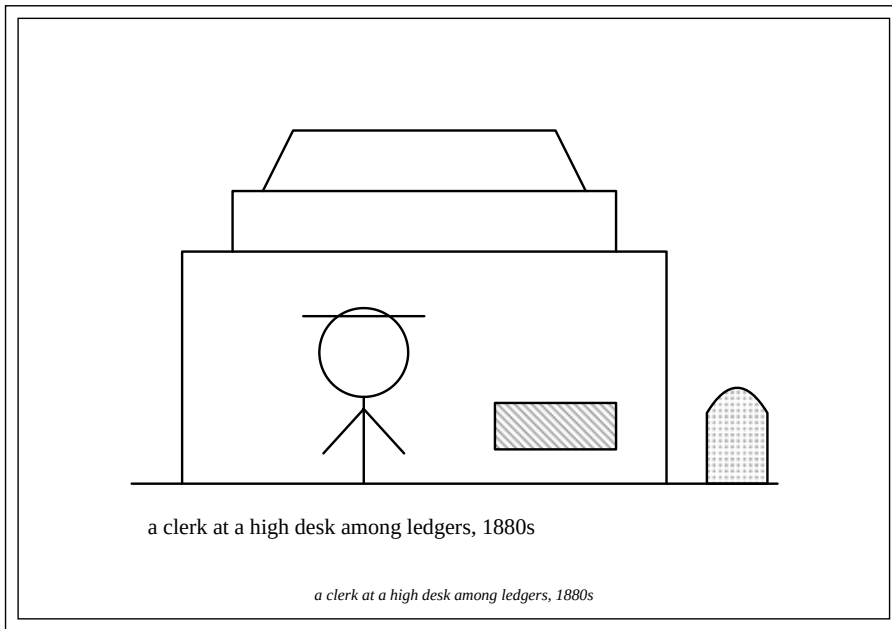
Useful life. the period over which an asset is expected to be of use to the business The chapter example shows how the term is used in practice. (Chapter XV)

User of accounting information. any person or group that reads accounting reports in order to make a decision The chapter example shows how the term is used in practice. (Chapter II)

Weighted average cost. a method that gives each unit the average cost of all units available The chapter example shows how the term is used in practice. (Chapter XIV)

Work in process. goods that have been started in production but are not yet finished The chapter example shows how the term is used in practice. (Chapter XIV)

Worksheet. a working paper, not a formal report, that lays out the trial balance, adjustments and statement figures in columns The chapter example shows how the term is used in practice. (Chapter IX)



CHAPTER II

Accounting, Its Users and Its Rules

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

Product cost. a cost included in the cost of the goods themselves The chapter example shows how the term is used in practice. (*Chapter XI*)

Profit. the money left over when a business has paid all its costs out of the money it earns The chapter example shows how the term is used in practice. (*Chapter I*)

Profit-sharing ratio. the agreed proportions in which partners share profit and loss The chapter example shows how the term is used in practice. (*Chapter XVI*)

Purchase return. goods that the firm sends back to a supplier, reducing purchases The chapter example shows how the term is used in practice. (*Chapter XI*)

Purchases. the cost of goods bought during the period for resale The chapter example shows how the term is used in practice. (*Chapter XI*)

Purchases journal. the special journal for goods bought on credit The chapter example shows how the term is used in practice. (*Chapter XII*)

Ratio. a comparison of two or more amounts, written with a colon, such as 2:1 The chapter example shows how the term is used in practice. (*Appendix A*)

Raw materials. the basic materials a manufacturer buys to make its products The chapter example shows how the term is used in practice. (*Chapter XIV*)

Realisation. the sale of the assets of a business for cash The chapter example shows how the term is used in practice. (*Chapter XVII*)

Receipts and payments account. a summary of all cash received and paid in a period, whatever period it belongs to The chapter example shows how the term is used in practice. (*Chapter XVI*)

Record. a written note, made at the time, of something that happened and its money value The chapter example shows how the term is used in practice. (*Chapter I*)

Residual value. the amount the firm expects to receive when it disposes of the asset at the end of its useful life The chapter example shows how the term is used in practice. (*Chapter XV*)

Revenue. the price of goods sold or services provided to customers in a period The chapter example shows how the term is used in practice. (*Chapter III*)

Reversing entry. an entry made on the first day of a new period that cancels an earlier adjusting entry The chapter example shows how the term is used in practice. (*Chapter X*)

Rounding. replacing a number by a nearby simpler number, such as the nearest whole taka The chapter example shows how the term is used in practice. (*Appendix A*)

Sales. the selling price of goods sold to customers during the period The chapter example shows how the term is used in practice. (*Chapter XI*)

Sales journal. the special journal for goods sold on credit The chapter example shows how the term is used in practice. (*Chapter XII*)

Sales return. goods that a customer sends back, reducing sales The chapter example shows how the term is used in practice. (*Chapter XI*)

Service firm. a business that earns money by doing work for customers instead of selling goods The chapter example shows how the term is used in practice. (*Chapter I*)

The term **Historical cost concept** means the rule that an asset is recorded at the price actually paid for it. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Accounting standard** means a detailed rule, issued by an official body, on how a type of item must be recorded and reported. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Generally accepted accounting principles** means the body of agreed rules that businesses follow when they prepare accounts. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In What Accounting Is, we begin with accounting as the language of business rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In What Accounting Is, we begin with recording, classifying, summarising and reporting rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Historical cost concept. the rule that an asset is recorded at the price actually paid for it

Historical cost concept names one specific idea needed here.

Accounting standard. a detailed rule, issued by an official body, on how a type of item must be recorded and reported

Accounting standard names one specific idea needed here.

Generally accepted accounting principles. the body of agreed rules that businesses follow when they prepare accounts

Generally accepted accounting principles names one specific idea needed here.

Accounting as the language of business starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Recording, classifying, summarising and reporting starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Journal entry. one recorded transaction, showing the accounts debited and credited and the amounts The chapter example shows how the term is used in practice. (Chapter VI)

Last-in, first-out (LIFO). the cost flow assumption that treats the newest goods as the first sold The chapter example shows how the term is used in practice. (Chapter XIV)

Ledger. the complete set of accounts of a business, kept together The chapter example shows how the term is used in practice. (Chapter VI)

Liability. an amount that a business owes to someone outside the business The chapter example shows how the term is used in practice. (Chapter III)

Limited liability. the rule that shareholders can lose no more than they have paid or agreed to pay for their shares The chapter example shows how the term is used in practice. (Chapter XVIII)

Liquidation. the process of selling a business's assets, paying its debts and sharing what is left among the owners The chapter example shows how the term is used in practice. (Chapter XVII)

Loss. the shortfall that results when a business's costs are greater than the money it earns The chapter example shows how the term is used in practice. (Chapter I)

Management accounting. accounting that gives a business's own managers the information they need to plan and decide The chapter example shows how the term is used in practice. (Chapter II)

Manufacturing firm. a business that makes goods from materials and then sells them The chapter example shows how the term is used in practice. (Chapter I)

Matching principle. the rule that expenses are recorded in the same period as the revenue they helped to earn The chapter example shows how the term is used in practice. (Chapter VIII)

Merchandise inventory. the goods a merchandising firm holds for resale The chapter example shows how the term is used in practice. (Chapter XI)

Merchandising firm. a business that buys finished goods and resells them without changing them The chapter example shows how the term is used in practice. (Chapter I)

Money measurement concept. the rule that only events that can be stated in money are recorded The chapter example shows how the term is used in practice. (Chapter II)

Narration. a short written explanation placed under a journal entry The chapter example shows how the term is used in practice. (Chapter VI)

Net income. the amount by which revenue is greater than expenses in a period The chapter example shows how the term is used in practice. (Chapter III)

Net loss. the amount by which expenses are greater than revenue in a period The chapter example shows how the term is used in practice. (Chapter III)

Non-current asset. an asset the firm expects to use for longer than one year The chapter example shows how the term is used in practice. (Chapter XI)

Non-current liability. a debt not due for payment until after one year The chapter example shows how the term is used in practice. (Chapter XI)

Non-trading concern. an organisation, such as a club, that exists to serve its members and not to earn profit The chapter example shows how the term is used in practice. (Chapter XVI)

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

users of accounting information arranged around a busin

FIG. 2.2. users of accounting information arranged around a business

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

2.3 WHO USES ACCOUNTING INFORMATION

In Who Uses Accounting Information, we begin with internal users rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Who Uses Accounting Information, we begin with external users rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Internal users starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

External users starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

provides The chapter example shows how the term is used in practice. (Chapter I)

Debit. an entry on the left side of an account The chapter example shows how the term is used in practice. (Chapter V)

Debit memo. a bank notice that it has taken money out of the firm's account, for example a charge The chapter example shows how the term is used in practice. (Chapter XIII)

Deficit. the amount by which expenditure is greater than income in a non-trading concern The chapter example shows how the term is used in practice. (Chapter XVI)

Deposit in transit. money the firm has recorded as banked but the bank has not yet added to its statement The chapter example shows how the term is used in practice. (Chapter XIII)

Depreciable cost. the cost of an asset less its residual value The chapter example shows how the term is used in practice. (Chapter XV)

Depreciation. the sharing of an asset's cost across the periods in which the asset is used The chapter example shows how the term is used in practice. (Chapter VIII)

Depreciation schedule. a table showing the depreciation, accumulated depreciation and book value for each year The chapter example shows how the term is used in practice. (Chapter XV)

Dividend. a share of a company's profit paid to its shareholders The chapter example shows how the term is used in practice. (Chapter XVIII)

Double-entry system. the method in which every transaction is recorded as equal debits and credits in at least two accounts The chapter example shows how the term is used in practice. (Chapter V)

Drawings. money or goods the owner takes out of the business for personal use The chapter example shows how the term is used in practice. (Chapter III)

Ending inventory. the cost of goods still held at the end of the period The chapter example shows how the term is used in practice. (Chapter XIV)

Error of omission. a mistake in which a transaction, or one side of it, is left out of the records The chapter example shows how the term is used in practice. (Chapter VII)

Expense. a cost of running the business that is used up in earning revenue The chapter example shows how the term is used in practice. (Chapter III)

Financial accounting. accounting that prepares reports on a business for people outside it, such as banks and tax officers The chapter example shows how the term is used in practice. (Chapter II)

Financial statement. a formal report that sums up the money results or position of a business The chapter example shows how the term is used in practice. (Chapter IV)

Finished goods. completed products waiting to be sold The chapter example shows how the term is used in practice. (Chapter XIV)

First-in, first-out (FIFO). the cost flow assumption that treats the oldest goods as the first sold The chapter example shows how the term is used in practice. (Chapter XIV)

system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. By 31 January 2022 the workshop owed Tk 20,000 to its machine supplier, Dhaka Machine Works. Four people wanted information about the workshop: Karim Meghna as owner; Dhaka Machine Works, which wanted to know whether the Tk 20,000 would be paid; a bank, to which Karim would apply for a loan in March 2022; and the National Board of Revenue, which collects income tax. No further figures are used.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

SUMMARY

Accounting, Its Users and Its Rules is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The

A changed situation tests whether the rule has been understood.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The chapter can be reduced to a small set of working rules.

Allotment. the company's decision to give shares to applicants, with the payment due on that step The chapter example shows how the term is used in practice. (Chapter XVIII)

Application money. the first payment, made with a request to buy shares The chapter example shows how the term is used in practice. (Chapter XVIII)

Appropriation account. the account that shows how a partnership's profit is divided among the partners The chapter example shows how the term is used in practice. (Chapter XVI)

Asset. something of value that a business owns or is owed, such as cash, equipment or money owed by customers The chapter example shows how the term is used in practice. (Chapter III)

Average. the total of a set of numbers divided by how many numbers there are The chapter example shows how the term is used in practice. (Appendix A)

Balance sheet. the report that lists the assets, liabilities and owner's equity of a business on one date The chapter example shows how the term is used in practice. (Chapter IV)

Bank reconciliation statement. a statement that explains the difference between the cash book balance and the bank statement balance The chapter example shows how the term is used in practice. (Chapter XIII)

Bank statement. a report from the bank listing the deposits, withdrawals and balance on the firm's account The chapter example shows how the term is used in practice. (Chapter XIII)

Book value. an asset's cost less its accumulated depreciation The chapter example shows how the term is used in practice. (Chapter XV)

Business. an organisation that provides goods or services to customers in order to earn money The chapter example shows how the term is used in practice. (Chapter I)

Business entity concept. the rule that a business is kept separate from its owner when records are made The chapter example shows how the term is used in practice. (Chapter II)

Calendar year. the twelve months from 1 January to 31 December The chapter example shows how the term is used in practice. (Chapter IV)

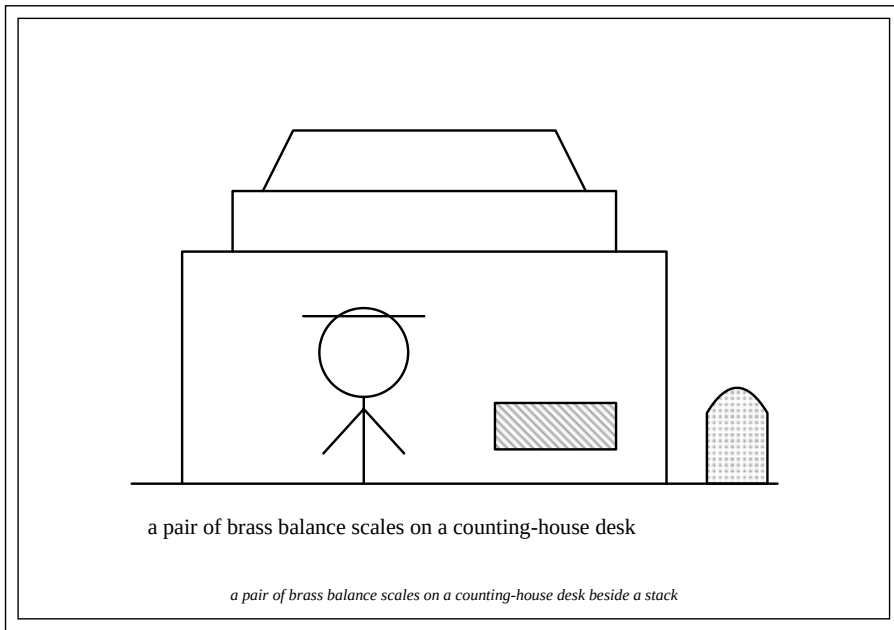
Call. a later request to shareholders to pay part of the amount still owed on their shares The chapter example shows how the term is used in practice. (Chapter XVIII)

Capital deficiency. a debit balance in a partner's capital account after losses are shared The chapter example shows how the term is used in practice. (Chapter XVII)

Capital expenditure. spending that adds to the cost of an asset, including delivery and installation The chapter example shows how the term is used in practice. (Chapter XV)

Cash basis. the method of recording revenue and expenses only when cash is received or paid The chapter example shows how the term is used in practice. (Chapter VIII)

Cash book. a book that records the receipts and payments passing through the firm's bank account The chapter example shows how the term is used in practice. (Chapter XII)



CHAPTER III

The Accounting Equation

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

The term **Transaction** means an event that has a money value and changes the accounting equation. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Source document** means a paper or electronic proof that a transaction took place, such as an invoice or receipt. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Account receivable** means an amount a customer owes the business for goods or services already provided. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Account payable** means an amount the business owes a supplier for goods or services already received. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In Assets, Liabilities and Owner's Equity, we begin with assets and liabilities rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Assets, Liabilities and Owner's Equity, we begin with the equation: assets = liabilities + owner's equity rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Transaction. an event that has a money value and changes the accounting equation

Transaction names one specific idea needed here.

Source document. a paper or electronic proof that a transaction took place, such as an invoice or receipt

Source document names one specific idea needed here.

Account receivable. an amount a customer owes the business for goods or services already provided

Account receivable names one specific idea needed here.

Account payable. an amount the business owes a supplier for goods or services already received

Account payable names one specific idea needed here.

Assets and liabilities starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The equation: Assets = Liabilities + Owner's equity starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

A.1 PERCENTAGES AND PERCENTAGE CHANGE

The term **Percentage** means a number written as a part out of one hundred. Use the definition with a tiny numerical example before moving to a larger accounting calculation.

The term **Percentage change** means the size of an increase or decrease shown as a percentage of the starting figure. Use the definition with a tiny numerical example before moving to a larger accounting calculation.

The term **Ratio** means a comparison of two or more amounts, written with a colon, such as 2:1. Use the definition with a tiny numerical example before moving to a larger accounting calculation.

The term **Average** means the total of a set of numbers divided by how many numbers there are. Use the definition with a tiny numerical example before moving to a larger accounting calculation.

The term **Rounding** means replacing a number by a nearby simpler number, such as the nearest whole taka. Use the definition with a tiny numerical example before moving to a larger accounting calculation.

The topic is used to handle numerical relationships in accounting. Start with the smallest example, write the operation in full, and check the result against the original quantities. The aim is accuracy and a repeatable method.

A.2 RATIOS AND AVERAGES

The topic is used to handle numerical relationships in accounting. Start with the smallest example, write the operation in full, and check the result against the original quantities. The aim is accuracy and a repeatable method.

A.3 REARRANGING, ROUNDING AND GRAPHS

The topic is used to handle numerical relationships in accounting. Start with the smallest example, write the operation in full, and check the result against the original quantities. The aim is accuracy and a repeatable method.

Write the starting value before changing it. Keep the unit or label beside the number while working. Estimate the result first, then calculate it exactly and compare the two results.

Write the starting value before changing it. Keep the unit or label beside the number while working. Estimate the result first, then calculate it exactly and compare the two results.

Write the starting value before changing it. Keep the unit or label beside the number while working. Estimate the result first, then calculate it exactly and compare the two results.

Write the starting value before changing it. Keep the unit or label beside the number while working. Estimate the result first, then calculate it exactly and compare the two results.

Write the starting value before changing it. Keep the unit or label beside the number while

Percentage. a number written as a part out of one hundred

Percentage gives a precise mathematical meaning.

Percentage change. the size of an increase or decrease shown as a percentage of the starting figure

Percentage change gives a precise mathematical meaning.

Ratio. a comparison of two or more amounts, written with a colon, such as 2:1

Ratio gives a precise mathematical meaning.

Average. the total of a set of numbers divided by how many numbers there are

Average gives a precise mathematical meaning.

Rounding. replacing a number by a nearby simpler number, such as the nearest whole taka

Rounding gives a precise mathematical meaning.

Percentages and Percentage Change provides a practical mathematical tool.

Ratios and Averages provides a practical mathematical tool.

Rearranging, Rounding and Graphs provides a practical mathematical tool.

A short numerical check prevents an avoidable arithmetic error.

A short numerical check prevents an avoidable arithmetic error.

A short numerical check prevents an avoidable arithmetic error.

A short numerical check prevents an avoidable arithmetic error.

A short numerical check prevents an avoidable arithmetic error.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

how revenue, expenses and drawings flow into owner's eq

FIG. 3.2. how revenue, expenses and drawings flow into owner's equity

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

3.3 BUSINESS TRANSACTIONS

In Business Transactions, we begin with what counts as a transaction rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Business Transactions, we begin with source documents rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

What counts as a transaction starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Source documents starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

The Dhaka Stock Exchange was established in 1954 as the East Pakistan Stock Exchange Association and renamed in 1964. Search: Dhaka Stock Exchange history 1954 established. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

- 18.R1 State the main rule in your own words and apply it to a new small example.
- 18.R2 What check would you perform before accepting the result?

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. January 2022, transactions that change only cash, equipment, money owed and money earned: 2 Jan owner Karim Meghna invests cash Tk 600,000; 3 Jan buys binding equipment Tk 150,000, paying Tk 100,000 cash and owing Tk 50,000 to Dhaka Machine Works; 8 Jan binding work for cash Tk 95,000; 12 Jan binding work for a school on account Tk 120,000; 20 Jan collects Tk 70,000 from the school; 22 Jan pays Tk 30,000 to Dhaka Machine Works; 25 Jan pays wages Tk 40,000; 28 Jan pays utilities Tk 8,000; 31 Jan owner withdraws Tk 20,000. Running totals by code: cash Tk 567,000; accounts receivable Tk 50,000; equipment Tk 150,000; total assets Tk 767,000; accounts payable Tk 20,000; owner's equity Tk 747,000 (capital Tk 600,000 plus net income Tk 167,000 less drawings Tk 20,000). Revenue Tk 215,000; expenses Tk 48,000 (wages Tk 40,000, utilities Tk 8,000).

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. On 1 July 2026 the family business became Meghna Books Limited. Authorised capital Tk 6,000,000: 400,000 ordinary shares of Tk 10 par value and 20,000 6% preference shares of Tk 100 par value. Issue of 200,000 ordinary shares at Tk 12 each, payable Tk 4 on application, Tk 5 on allotment (including the Tk 2 premium) and Tk 3 on the final call. By code: application Tk 800,000; allotment Tk 1,000,000; call Tk 600,000; total Tk 2,400,000, of which share capital Tk 2,000,000 and share premium Tk 400,000. All applicants pay in full on each due date. 20,000 preference shares issued at par for cash, Tk 2,000,000.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

- 03.R1 State the main rule in your own words and apply it to a new small example.
- 03.R2 What check would you perform before accepting the result?

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

owners, shares and company shown as three layers

FIG. 18.1. owners, shares and company shown as three layers

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

18.2 TYPES OF SHARES

In Types of Shares, we begin with ordinary and preference shares rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Types of Shares, we begin with par value and share premium rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Ordinary and preference shares starts with a concrete question.

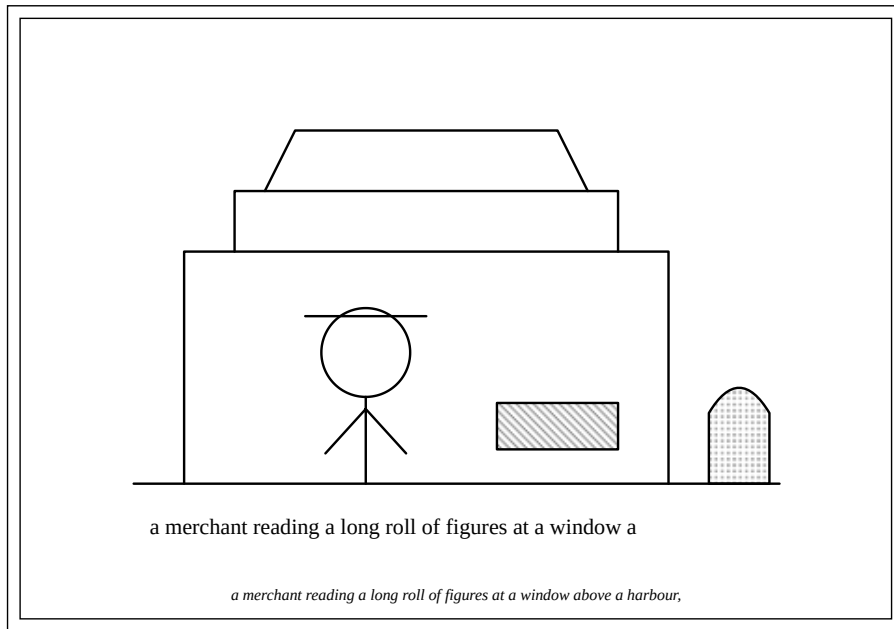
The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Par value and share premium starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.



CHAPTER IV

A First Look at the Financial Statements

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Share. one of the equal parts into which a company's capital is divided

Share names one specific idea needed here.

Shareholder. a person or organisation that owns one or more shares in a company

Shareholder names one specific idea needed here.

Limited liability. the rule that shareholders can lose no more than they have paid or agreed to pay for their shares

Limited liability names one specific idea needed here.

Ordinary share. a share that carries the right to vote and to receive the profit left after other claims

Ordinary share names one specific idea needed here.

Preference share. a share that has a right to a fixed dividend before ordinary shareholders are paid

Preference share names one specific idea needed here.

Par value. the face value printed on a share

Par value names one specific idea needed here.

Share premium. the amount a company receives above par value when it issues a share

Share premium names one specific idea needed here.

Dividend. a share of a company's profit paid to its shareholders

Dividend names one specific idea needed here.

Application money. the first payment, made with a request to buy shares

Application money names one specific idea needed here.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Company Accounting and Shares addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

18.1 WHAT A COMPANY IS

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Share** means one of the equal parts into which a company's capital is divided. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Shareholder** means a person or organisation that owns one or more shares in a company. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Limited liability** means the rule that shareholders can lose no more than they have paid or agreed to pay for their shares. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Ordinary share** means a share that carries the right to vote and to receive the profit left after other claims. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Preference share** means a share that has a right to a fixed dividend before ordinary shareholders are paid. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Par value** means the face value printed on a share. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Share premium** means the amount a company receives above par value when it issues a share. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Dividend** means a share of a company's profit paid to its shareholders. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Application money** means the first payment, made with a request to buy shares. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

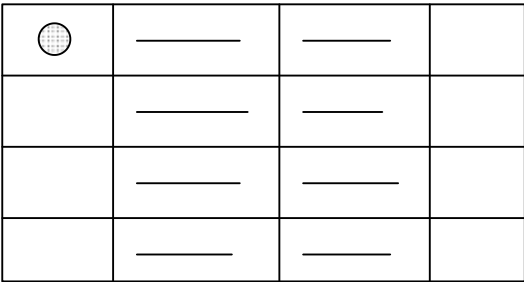
Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In The Income Statement, we begin with reading the heading and the date rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.



the three statements side by side with link arrows

FIG. 4.1. the three statements side by side with link arrows

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

4.2 THE STATEMENT OF OWNER'S EQUITY

In The Statement of Owner's Equity, we begin with opening capital, net income and drawings rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Reading the heading and the date starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The figure shows the same relationship in a compact visual form.

Opening capital, net income and drawings starts with a concrete question.

examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

- 17.T1 What is the central problem that this chapter method is designed to solve?
- 17.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

Arthur Andersen, one of the world's largest accounting partnerships, wound down in 2002 after its conviction for obstruction of justice linked to the Enron audit. Search: Arthur Andersen 2002 conviction wind-down partnership. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

- 17.R1 State the main rule in your own words and apply it to a new small example.
- 17.R2 What check would you perform before accepting the result?

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In The Balance Sheet, we begin with listing order of items rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

4.4 HOW THE STATEMENTS CONNECT; ACCOUNTING PERIODS

In How the Statements Connect; Accounting Periods, we begin with the order of preparation and the links rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In How the Statements Connect; Accounting Periods, we begin with fiscal year, calendar year and interim period rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Listing order of items starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The order of preparation and the links starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Fiscal year, calendar year and interim period starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

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A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

SUMMARY

A First Look at the Financial Statements is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

04.T1 What is the central problem that this chapter method is designed to solve?

04.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

The Dutch East India Company (VOC), founded 20 March 1602, was an early company whose investors pressed for reports on how their money was used. Search: VOC 1602 shareholders demand accounts. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The chapter can be reduced to a small set of working rules.

A common error is to use a familiar word without checking its accounting meaning.

The historical case shows why careful records matter beyond a textbook example.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a cash distribution schedule with a column for each partner

FIG. 17.2. a cash distribution schedule with a column for each partner

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

17.3 DISTRIBUTING CASH TO PARTNERS

In Distributing Cash to Partners, we begin with closing partners' capital and the cash distribution schedule rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Distributing Cash to Partners, we begin with when a partner has a capital deficiency rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Closing partners' capital and the cash distribution schedule starts with a concrete question.

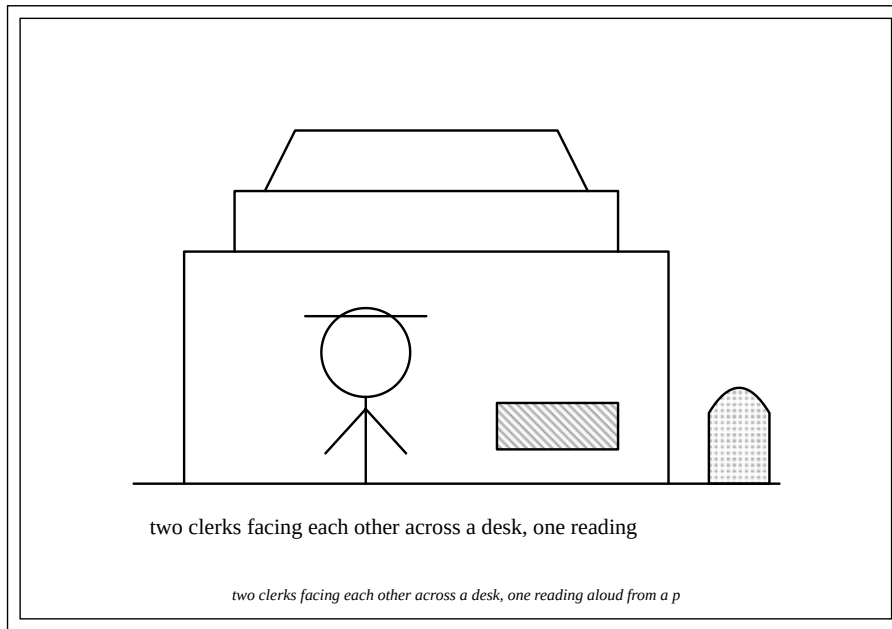
The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

When a partner has a capital deficiency starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.



CHAPTER V

Accounts, Debits and Credits

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Liquidation. the process of selling a business's assets, paying its debts and sharing what is left among the owners

Liquidation names one specific idea needed here.

Realisation. the sale of the assets of a business for cash

Realisation names one specific idea needed here.

Capital deficiency. a debit balance in a partner's capital account after losses are shared

Capital deficiency names one specific idea needed here.

Cash distribution schedule. a table that shows how cash is paid out to creditors and partners step by step

Cash distribution schedule names one specific idea needed here.

Liquidation and the reasons partnerships end starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Partnership Liquidation addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

17.1 WHAT LIQUIDATION MEANS AND WHY IT HAPPENS

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Liquidation** means the process of selling a business's assets, paying its debts and sharing what is left among the owners. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Realisation** means the sale of the assets of a business for cash. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Capital deficiency** means a debit balance in a partner's capital account after losses are shared. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Cash distribution schedule** means a table that shows how cash is paid out to creditors and partners step by step. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In What Liquidation Means and Why It Happens, we begin with liquidation and the reasons partnerships end rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In The Account and Its Six Types, we begin with six types of account and the chart of accounts rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Six types of account and the chart of accounts starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a T-account with its debit and credit sides labelled

FIG. 5.1. a T-account with its debit and credit sides labelled

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

The figure shows the same relationship in a compact visual form.

5.2 DEBIT AND CREDIT

In Debit and Credit, we begin with debit on the left, credit on the right: the rules for each type rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Debit on the left, credit on the right: the rules for each type starts with a concrete question.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Double Entry in Practice, we begin with analysing a transaction in four steps rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

one transaction analysed in four steps

FIG. 5.3. *one transaction analysed in four steps*

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

5.4 T-ACCOUNTS

In T-Accounts, we begin with drawing and balancing a t-account rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Analysing a transaction in four steps starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The figure shows the same relationship in a compact visual form.

Drawing and balancing a T-account starts with a concrete question.

140

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The chapter can be reduced to a small set of working rules.

A common error is to use a familiar word without checking its accounting meaning.

remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

SUMMARY

Non-Trading Concerns and Partnership Accounts is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

16.T1 What is the central problem that this chapter method is designed to solve?

16.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

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A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. Club: the Meghna Readers' Club, begun by the family in 2023. Receipts and payments for the year ended 31 December 2024: opening cash Tk 15,000; subscriptions received Tk 84,000; donations Tk 20,000; sale of old books Tk 9,000; payments for hall rent Tk 36,000, newspapers and magazines Tk 12,000, new books Tk 18,000, librarian's salary Tk 24,000, refreshments Tk 7,000. Closing cash Tk 31,000. Adjustments: subscriptions owing for 2024 Tk 4,000; subscriptions received in advance for 2025 Tk 6,000; hall rent owing Tk 3,000. By code: income Tk 111,000; expenditure Tk 100,000; surplus Tk 11,000. Partnership: from 1 January 2025 Karim Meghna and his son Imran Meghna are partners. Capital: Karim Tk 600,000; Imran Tk 300,000. Terms: interest on capital 5% a year; salary to Imran Tk 60,000; the rest shared 2:1 (Karim:Imran). Profit before appropriation for 2025 Tk 420,000. By code: interest Karim Tk 30,000, Imran Tk 15,000; remainder Tk 315,000, Karim Tk 210,000, Imran Tk 105,000; totals Karim Tk 240,000, Imran Tk 180,000. Drawings: Karim Tk 90,000; Imran Tk 60,000. Closing balances Karim Tk 750,000; Imran Tk 420,000.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

SOURCES
REVIEW QUESTIONS

- 05.R1 State the main rule in your own words and apply it to a new small example.
- 05.R2 What check would you perform before accepting the result?

The chapter includes a historical source note.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a receipts and payments account converted into an income

FIG. 16.1.1. a receipts and payments account converted into an income and expenditure account

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

16.2 FORMING A PARTNERSHIP AND THE DEED

In Forming a Partnership and the Deed, we begin with features of a partnership rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Forming a Partnership and the Deed, we begin with contents of a partnership deed rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Features of a partnership starts with a concrete question.

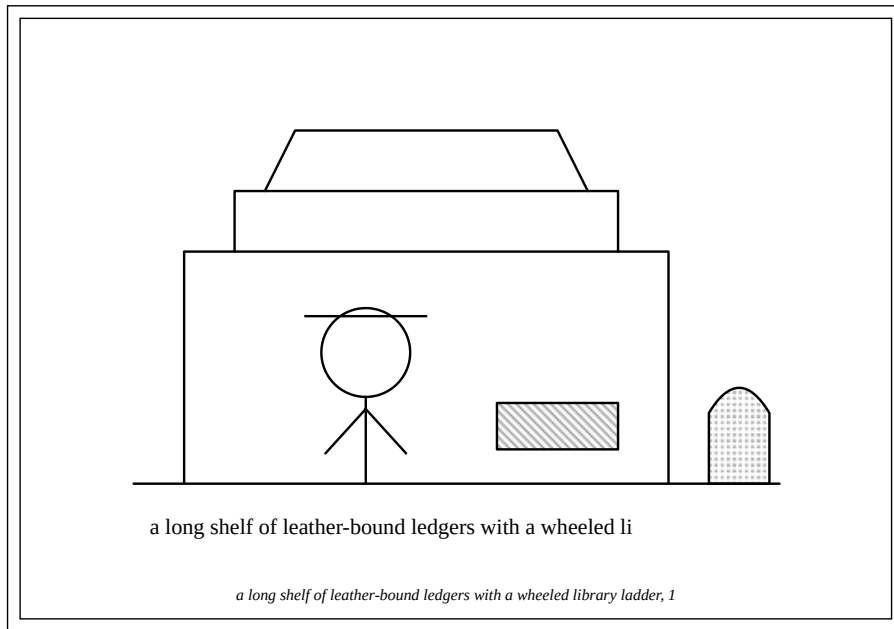
The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Contents of a partnership deed starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.



CHAPTER VI

Journal and Ledger

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Non-trading concern. an organisation, such as a club, that exists to serve its members and not to earn profit

Non-trading concern names one specific idea needed here.

Receipts and payments account. a summary of all cash received and paid in a period, whatever period it belongs to

Receipts and payments account names one specific idea needed here.

Income and expenditure account. the report of a non-trading concern that matches income and costs to the period, like an income statement

Income and expenditure account names one specific idea needed here.

Surplus. the amount by which income is greater than expenditure in a non-trading concern

Surplus names one specific idea needed here.

Deficit. the amount by which expenditure is greater than income in a non-trading concern

Deficit names one specific idea needed here.

Subscription. a regular payment that a member makes to a club

Subscription names one specific idea needed here.

Partnership deed. the written agreement among partners on how the business is run and profit shared

Partnership deed names one specific idea needed here.

Profit-sharing ratio. the agreed proportions in which partners share profit and loss

Profit-sharing ratio names one specific idea needed here.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Non-Trading Concerns and Partnership Accounts addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

16.1 NON-TRADING CONCERNS

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Non-trading concern** means an organisation, such as a club, that exists to serve its members and not to earn profit. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Receipts and payments account** means a summary of all cash received and paid in a period, whatever period it belongs to. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Income and expenditure account** means the report of a non-trading concern that matches income and costs to the period, like an income statement. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Surplus** means the amount by which income is greater than expenditure in a non-trading concern. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Deficit** means the amount by which expenditure is greater than income in a non-trading concern. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Subscription** means a regular payment that a member makes to a club. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Partnership deed** means the written agreement among partners on how the business is run and profit shared. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Profit-sharing ratio** means the agreed proportions in which partners share profit and loss. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In The Journal and Journal Entries, we begin with narration and compound entries rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a journal page with columns labelled

FIG. 6.1. a journal page with columns labelled

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

6.2 THE LEDGER AND POSTING

In The Ledger and Posting, we begin with the ledger as the book of accounts rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

A changed situation tests whether the rule has been understood.

Narration and compound entries starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The figure shows the same relationship in a compact visual form.

The ledger as the book of accounts starts with a concrete question.

The procedure keeps the idea tied to the facts.

SUMMARY

Plant Assets and Depreciation is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

- 15.T1 What is the central problem that this chapter method is designed to solve?
- 15.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

In 1998 the waste company Waste Management restated years of earnings after it was found that useful lives of its vehicles and containers had been extended without good reason. Search: Waste Management 1998 restatement depreciation useful lives SEC. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

- 15.R1 State the main rule in your own words and apply it to a new small example.
- 15.R2 What check would you perform before accepting the result?

The chapter can be reduced to a small set of working rules.

A common error is to use a familiar word without checking its accounting meaning.

The historical case shows why careful records matter beyond a textbook example.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Worked Cycle of Entries, we begin with checking your own work rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. January 2022 transactions: 2 Jan owner Karim Meghna invests cash Tk 600,000; 3 Jan buys binding equipment Tk 150,000, paying Tk 100,000 cash and owing Tk 50,000 to Dhaka Machine Works; 8 Jan binding work for cash Tk 95,000; 12 Jan binding work for a school on account Tk 120,000; 20 Jan collects Tk 70,000 from the school; 22 Jan pays Tk 30,000 to Dhaka Machine Works; 25 Jan pays wages Tk 40,000; 28 Jan pays utilities Tk 8,000; 31 Jan owner withdraws Tk 20,000. Ledger balances after posting (by code): Cash Tk 567,000 Dr; Accounts Receivable Tk 50,000 Dr; Equipment Tk 150,000 Dr; Accounts Payable Tk 20,000 Cr; Owner's Capital Tk 600,000 Cr; Owner's Drawings Tk 20,000 Dr; Service Revenue Tk 215,000 Cr; Wages Expense Tk 40,000 Dr; Utilities Expense Tk 8,000 Dr. Equipment purchase of 3 January is the compound entry: Equipment Dr Tk 150,000; Cash Cr Tk 100,000; Accounts Payable Cr Tk 50,000.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should

A changed situation tests whether the rule has been understood.

Checking your own work starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

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The case result is accepted only when the records agree with the stated facts.

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Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

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Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

SUMMARY

Journal and Ledger is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

A further check keeps the rule tied to the facts.

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A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The chapter can be reduced to a small set of working rules.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a depreciation schedule table

FIG. 15.3. a depreciation schedule table

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

15.4 SUM OF THE YEARS' DIGITS

In Sum of the Years' Digits, we begin with sum-of-the-years'-digits method rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Sum of the Years' Digits, we begin with comparing the three patterns rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Sum-of-the-years'-digits method starts with a concrete question.

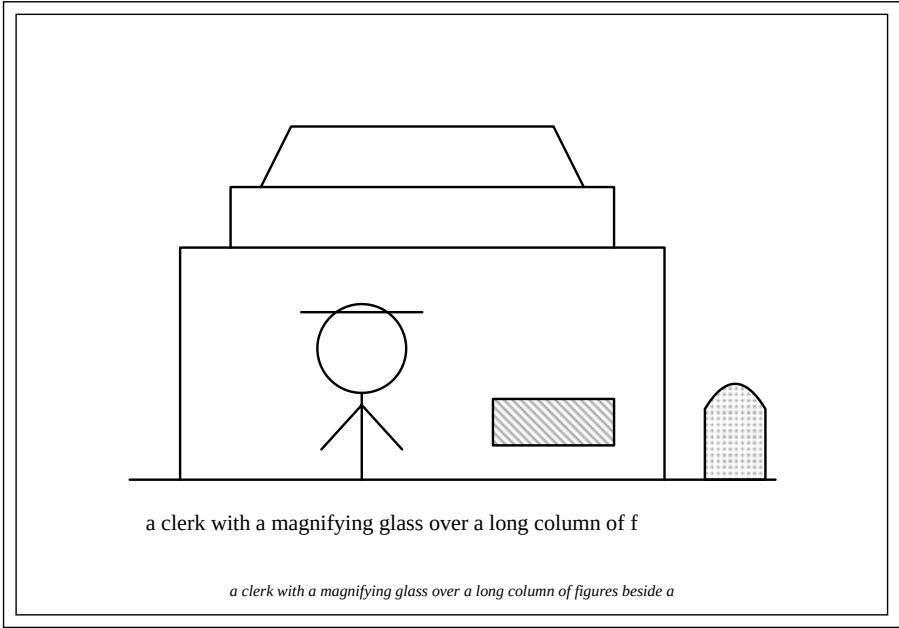
The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Comparing the three patterns starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.



CHAPTER VII

The Trial Balance and the Accounting Cycle

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

three bar charts of yearly depreciation under the three

FIG. 15.1. three bar charts of yearly depreciation under the three methods

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

15.2 WHY WE DEPRECIATE; FACTORS THAT AFFECT IT

Useful life, residual value and depreciable cost starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Depreciation expense versus accumulated depreciation starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

In Why We Depreciate; Factors That Affect It, we begin with useful life, residual value and depreciable cost rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

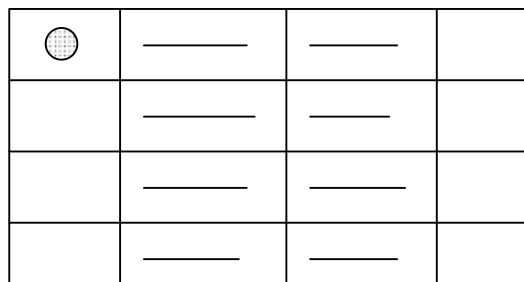
In Why We Depreciate; Factors That Affect It, we begin with depreciation expense versus accumulated depreciation rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a trial balance with the two total lines highlighted

FIG. 7.1. a trial balance with the two total lines highlighted

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

7.2 FINDING AND CORRECTING ERRORS

In Finding and Correcting Errors, we begin with errors that stop the totals agreeing rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Finding and Correcting Errors, we begin with errors the trial balance cannot find rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The figure shows the same relationship in a compact visual form.

Errors that stop the totals agreeing starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Errors the trial balance cannot find starts with a concrete question.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Plant asset. a long-lived physical asset, such as equipment or a building, used in running the business

Plant asset names one specific idea needed here.

Capital expenditure. spending that adds to the cost of an asset, including delivery and installation
Capital expenditure names one specific idea needed here.

Useful life. the period over which an asset is expected to be of use to the business

Useful life names one specific idea needed here.

Residual value. the amount the firm expects to receive when it disposes of the asset at the end of its useful life

Residual value names one specific idea needed here.

Depreciable cost. the cost of an asset less its residual value

Depreciable cost names one specific idea needed here.

Straight-line method. a method that charges the same depreciation each year

Straight-line method names one specific idea needed here.

Units-of-production method. a method that charges depreciation in proportion to how much the asset is used

Units-of-production method names one specific idea needed here.

Sum-of-the-years'-digits method. a method that charges more depreciation in early years, using a falling fraction of depreciable cost

Sum-of-the-years'-digits method names one specific idea needed here.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Plant Assets and Depreciation addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

15.1 NATURE AND COST OF PLANT ASSETS

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Plant asset** means a long-lived physical asset, such as equipment or a building, used in running the business. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Capital expenditure** means spending that adds to the cost of an asset, including delivery and installation. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Useful life** means the period over which an asset is expected to be of use to the business. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Residual value** means the amount the firm expects to receive when it disposes of the asset at the end of its useful life. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Depreciable cost** means the cost of an asset less its residual value. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Straight-line method** means a method that charges the same depreciation each year. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Units-of-production method** means a method that charges depreciation in proportion to how much the asset is used. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Sum-of-the-years'-digits method** means a method that charges more depreciation in early years, using a falling fraction of depreciable cost. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. Ledger balances at 31 January 2022: Cash Tk 567,000 Dr; Accounts Receivable Tk 50,000 Dr; Equipment Tk 150,000 Dr; Owner's Drawings Tk 20,000 Dr; Wages Expense Tk 40,000 Dr; Utilities Expense Tk 8,000 Dr; Accounts Payable Tk 20,000 Cr; Owner's Capital Tk 600,000 Cr; Service Revenue Tk 215,000 Cr. Debit total Tk 835,000; credit total Tk 835,000. Three faulty copies: (a) Equipment copied as Tk 105,000, so debits are Tk 790,000, a difference of Tk 45,000; (b) the credit to Accounts Receivable for the 20 January collection of Tk 70,000 was never posted, so Accounts Receivable shows Tk 120,000 and debits total Tk 905,000 against credits of Tk 835,000; (c) Wages Expense copied as Tk 45,000 and Owner's Drawings copied as Tk 15,000, so the totals still agree at Tk 835,000.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

REVIEW QUESTIONS

14.R1 State the main rule in your own words and apply it to a new small example.

14.R2 What check would you perform before accepting the result?

facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

SUMMARY

The Trial Balance and the Accounting Cycle is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

07.T1 What is the central problem that this chapter method is designed to solve?

07.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

Barings Bank collapsed in February 1995 after trading losses were hidden in an error account numbered 88888 in its Singapore office. Search: Barings 1995 account 88888 Leeson. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

07.R1 State the main rule in your own words and apply it to a new small example.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

The chapter can be reduced to a small set of working rules.

A common error is to use a familiar word without checking its accounting meaning.

The historical case shows why careful records matter beyond a textbook example.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

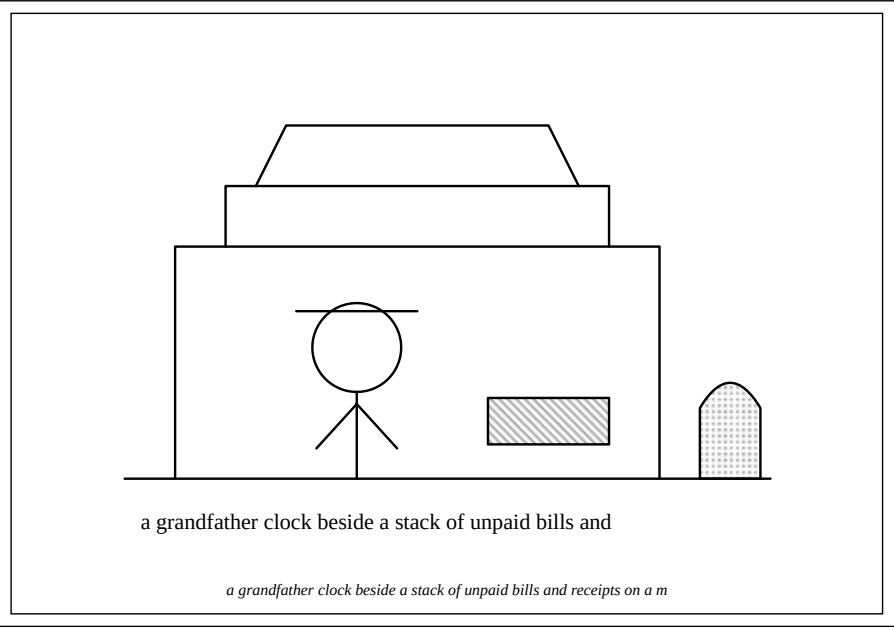
Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.



CHAPTER VIII

Adjusting the Accounts

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Weighted average cost starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In LIFO and Weighted Average, we begin with weighted average cost rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

14.5 COMPARING METHODS; INCOME AND TAX

What each method does to profit in rising prices starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Choosing a method starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

In Comparing Methods; Income and Tax, we begin with what each method does to profit in rising prices rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Comparing Methods; Income and Tax, we begin with choosing a method rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should

The term **Depreciation** means the sharing of an asset's cost across the periods in which the asset is used. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Accumulated depreciation** means the total depreciation charged on an asset since it was bought. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Contra account** means an account that is deducted from a related account and has the opposite normal balance. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Adjusted trial balance** means a trial balance prepared after the adjusting entries have been posted. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In Why Accounts Need Adjusting, we begin with cash basis and accrual basis rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Why Accounts Need Adjusting, we begin with the matching principle and adjusting entries rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Depreciation. the sharing of an asset's cost across the periods in which the asset is used

Depreciation names one specific idea needed here.

Accumulated depreciation. the total depreciation charged on an asset since it was bought

Accumulated depreciation names one specific idea needed here.

Contra account. an account that is deducted from a related account and has the opposite normal balance

Contra account names one specific idea needed here.

Adjusted trial balance. a trial balance prepared after the adjusting entries have been posted

Adjusted trial balance names one specific idea needed here.

Cash basis and accrual basis starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The matching principle and adjusting entries starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

* * *

14.2 WHY FIRMS KEEP INVENTORY, AND TOO MUCH OR TOO LITTLE

In Why Firms Keep Inventory, and Too Much or Too Little, we begin with reasons for holding inventory and the dangers of too little or too much rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a three-column comparison of the closing stock value, t

FIG. 14.2. a three-column comparison of the closing stock value, the goods sold figure and gross profit for each method

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

14.3 FIFO

In FIFO, we begin with cost flow and first-in, first-out rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Cost flow and first-in, first-out starts with a concrete question.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

the four adjustment types in a two-by-two grid

FIG. 8.2. the four adjustment types in a two-by-two grid

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

8.3 ACCRUED ITEMS

In Accrued Items, we begin with accrued expenses such as unpaid wages rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Accrued Items, we begin with accrued revenue not yet billed rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Accrued expenses such as unpaid wages starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Accrued revenue not yet billed starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Inventory. goods a business holds for sale, or materials and part-made goods it holds to make products

Inventory names one specific idea needed here.

Raw materials. the basic materials a manufacturer buys to make its products

Raw materials names one specific idea needed here.

Work in process. goods that have been started in production but are not yet finished

Work in process names one specific idea needed here.

Finished goods. completed products waiting to be sold

Finished goods names one specific idea needed here.

Stockout. a shortage that occurs when goods are wanted by customers but none are available

Stockout names one specific idea needed here.

Cost flow assumption. a rule that decides which purchase costs are assigned to goods sold and which to goods still held

Cost flow assumption names one specific idea needed here.

First-in, first-out (FIFO). the cost flow assumption that treats the oldest goods as the first sold

First-in, first-out (FIFO) names one specific idea needed here.

Last-in, first-out (LIFO). the cost flow assumption that treats the newest goods as the first sold

Last-in, first-out (LIFO) names one specific idea needed here.

Weighted average cost. a method that gives each unit the average cost of all units available

Weighted average cost names one specific idea needed here.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Inventory addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

14.1 WHAT INVENTORY IS AND ITS TYPES

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Inventory** means goods a business holds for sale, or materials and part-made goods it holds to make products. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Raw materials** means the basic materials a manufacturer buys to make its products. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Work in process** means goods that have been started in production but are not yet finished. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Finished goods** means completed products waiting to be sold. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Stockout** means a shortage that occurs when goods are wanted by customers but none are available. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Cost flow assumption** means a rule that decides which purchase costs are assigned to goods sold and which to goods still held. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **First-in, first-out (FIFO)** means the cost flow assumption that treats the oldest goods as the first sold. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Last-in, first-out (LIFO)** means the cost flow assumption that treats the newest goods as the first sold. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Weighted average cost** means a method that gives each unit the average cost of all units available. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

* * *

8.5 THE ADJUSTED TRIAL BALANCE

In The Adjusted Trial Balance, we begin with applying the six adjustments to the trial balance rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In The Adjusted Trial Balance, we begin with checking that totals still agree rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. Unadjusted trial balance at 31 January 2022 (Dr): Cash Tk 555,000; Accounts Receivable Tk 50,000; Supplies Tk 18,000; Prepaid Rent Tk 36,000; Equipment Tk 150,000; Owner's Drawings Tk 20,000; Wages Expense Tk 40,000; Utilities Expense Tk 8,000. (Cr): Accounts Payable Tk 38,000; Unearned Revenue Tk 24,000; Owner's Capital Tk 600,000; Service Revenue Tk 215,000. Each total Tk 877,000. Three events since the chapter 5 list: 2 Jan three months' rent paid in advance, Tk 36,000; 4 Jan supplies bought on account, Tk 18,000; 2 Jan a library paid Tk 24,000 for a 12-month repair contract running from 1 January. Month-end facts: (a) one month of rent used, Tk 12,000; (b) supplies on hand Tk 7,000, so Tk 11,000 used; (c) equipment cost Tk 150,000, residual Tk 30,000, 10 years, depreciation for one month Tk 1,000; (d) wages for the last days of January, unpaid, Tk 9,000; (e) one month of the library contract earned, Tk 2,000; (f) binding work finished but not billed, Tk 15,000. Adjusted balances by code: Accounts Receivable Tk 65,000; Supplies Tk 7,000; Prepaid Rent Tk 24,000; Accumulated Depreciation Tk 1,000 Cr; Wages Payable Tk 9,000 Cr; Unearned Revenue Tk 22,000 Cr;

Applying the six adjustments to the trial balance starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Checking that totals still agree starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The worked case applies the chapter rules to the documented running case.

SUMMARY

The chapter can be reduced to a small set of working rules.

Bank Reconciliation is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

13.T1 What is the central problem that this chapter method is designed to solve?

13.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

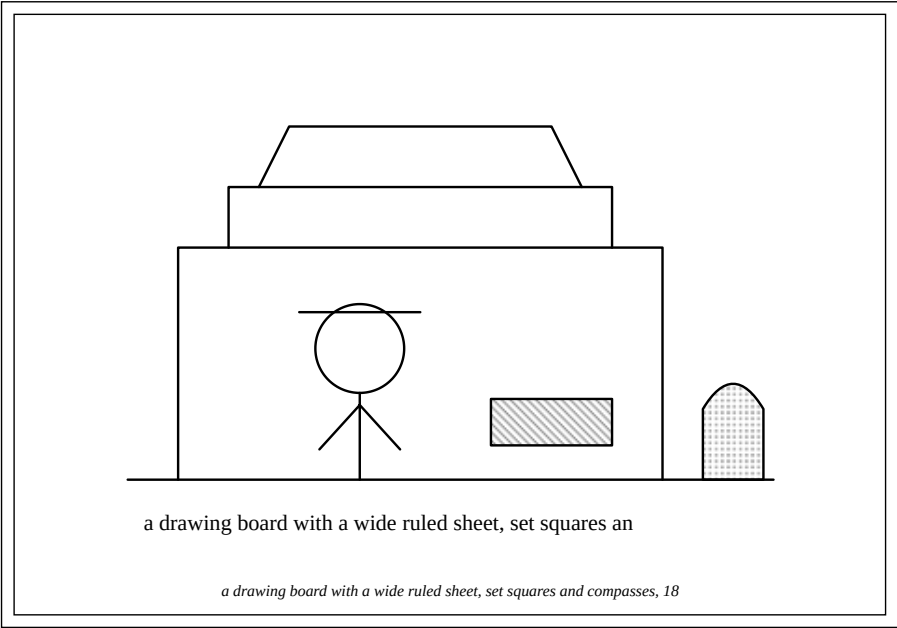
IN HISTORY

In February 2016 criminals sent fraudulent payment instructions in the name of Bangladesh Bank, and about US\$81 million reached accounts in the Philippines. Search: Bangladesh Bank 2016 SWIFT heist US\$81 million. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

13.R1 State the main rule in your own words and apply it to a new small example.

13.R2 What check would you perform before accepting the result?



CHAPTER IX

The Worksheet

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Items the bank records first: charges and direct deposits starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Causes of Differences; Debit and Credit Memos, we begin with items the bank records first: charges and direct deposits rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

the reconciliation statement as a two-column layout

FIG. 13.2. the reconciliation statement as a two-column layout

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

13.3 PREPARING THE RECONCILIATION STATEMENT

In Preparing the Reconciliation Statement, we begin with the two-sided reconciliation layout rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The figure shows the same relationship in a compact visual form.

The two-sided reconciliation layout starts with a concrete question.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

the ten columns as a labelled grid

FIG. 9.1. the ten columns as a labelled grid

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

9.2 BUILDING THE TEN-COLUMN WORKSHEET

In Building the Ten-Column Worksheet, we begin with trial balance and adjustment columns rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Building the Ten-Column Worksheet, we begin with adjusted trial balance, statement and balance sheet columns rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Trial balance and adjustment columns starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Adjusted trial balance, statement and balance sheet columns starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Bank statement. a report from the bank listing the deposits, withdrawals and balance on the firm's account

Bank statement names one specific idea needed here.

Bank reconciliation statement. a statement that explains the difference between the cash book balance and the bank statement balance

Bank reconciliation statement names one specific idea needed here.

Outstanding cheque. a cheque the firm has written and recorded but the bank has not yet paid

Outstanding cheque names one specific idea needed here.

Deposit in transit. money the firm has recorded as banked but the bank has not yet added to its statement

Deposit in transit names one specific idea needed here.

Debit memo. a bank notice that it has taken money out of the firm's account, for example a charge

Debit memo names one specific idea needed here.

Credit memo. a bank notice that it has added money to the firm's account, for example a direct customer payment

Credit memo names one specific idea needed here.

Adjusted cash balance. the correct bank balance after all reconciling items have been included

Adjusted cash balance names one specific idea needed here.

Two records of one bank account starts with a concrete question.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Bank Reconciliation addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

13.1 CASH BOOK AND BANK STATEMENT

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Bank statement** means a report from the bank listing the deposits, withdrawals and balance on the firm's account. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Bank reconciliation statement** means a statement that explains the difference between the cash book balance and the bank statement balance. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Outstanding cheque** means a cheque the firm has written and recorded but the bank has not yet paid. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Deposit in transit** means money the firm has recorded as banked but the bank has not yet added to its statement. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Debit memo** means a bank notice that it has taken money out of the firm's account, for example a charge. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Credit memo** means a bank notice that it has added money to the firm's account, for example a direct customer payment. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Adjusted cash balance** means the correct bank balance after all reconciling items have been included. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In Cash Book and Bank Statement, we begin with two records of one bank account rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. Trial balance at 31 January 2022 (Dr): Cash Tk 555,000; Accounts Receivable Tk 50,000; Supplies Tk 18,000; Prepaid Rent Tk 36,000; Equipment Tk 150,000; Owner's Drawings Tk 20,000; Wages Expense Tk 40,000; Utilities Expense Tk 8,000 (total Tk 877,000). (Cr): Accounts Payable Tk 38,000; Unearned Revenue Tk 24,000; Owner's Capital Tk 600,000; Service Revenue Tk 215,000 (total Tk 877,000). Adjustments: (a) Rent Expense Dr, Prepaid Rent Cr Tk 12,000; (b) Supplies Expense Dr, Supplies Cr Tk 11,000; (c) Depreciation Expense Dr, Accumulated Depreciation Cr Tk 1,000; (d) Wages Expense Dr, Wages Payable Cr Tk 9,000; (e) Unearned Revenue Dr, Service Revenue Cr Tk 2,000; (f) Accounts Receivable Dr, Service Revenue Cr Tk 15,000. Adjusted totals Tk 902,000 each side. Income statement columns: debits (expenses) Tk 81,000, credits (revenue) Tk 232,000, net income Tk 151,000. Balance sheet columns: debits Tk 821,000, credits Tk 670,000, difference Tk 151,000.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

SUMMARY

Special Journals and the Cash Book is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

- 12.T1 What is the central problem that this chapter method is designed to solve?
- 12.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

IN HISTORY

Francesco di Marco Datini, a merchant of Prato (about 1335 to 1410), kept many separate books for his trade; the surviving archive holds hundreds of ledgers and tens of thousands of letters. Search: Datini archive Prato ledgers letters. This note is included as a documented setting in which accounting records or accounting methods had practical consequences. The history illustrates the need for careful method; it does not replace the accounting rule.

REVIEW QUESTIONS

- 12.R1 State the main rule in your own words and apply it to a new small example.
- 12.R2 What check would you perform before accepting the result?

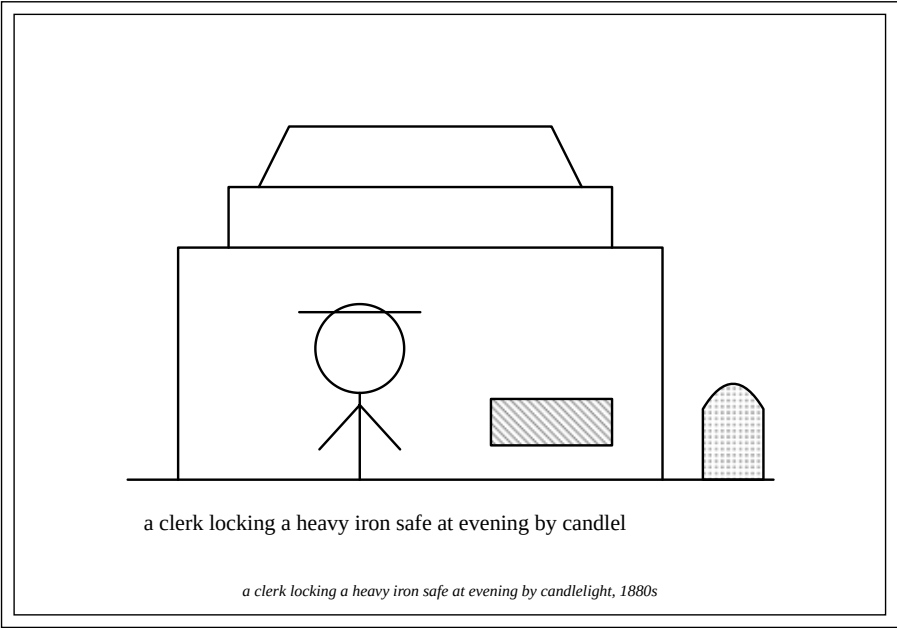
Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the

A further check keeps the rule tied to the facts.

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A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the



CHAPTER X

Closing the Books

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Recording sales on credit starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Purchases and Sales Journals, we begin with recording sales on credit rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a cash book with a receipts side and a payments side

FIG. 12.2. a cash book with a receipts side and a payments side

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

12.3 THE CASH BOOK AND CASH DISBURSEMENTS

In The Cash Book and Cash Disbursements, we begin with cash receipts and the cash book rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

The figure shows the same relationship in a compact visual form.

Cash receipts and the cash book starts with a concrete question.

or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

the four closing entries as arrows into the income summ

FIG. 10.1. the four closing entries as arrows into the income summary and capital accounts

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

10.2 CLOSING ENTRIES

In Closing Entries, we begin with why temporary accounts are closed rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In Closing Entries, we begin with the four closing entries rather than a list of rules. The first task is to identify the item or event being described and to

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The figure shows the same relationship in a compact visual form.

Why temporary accounts are closed starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The four closing entries starts with a concrete question.

The chapter begins with a practical question before giving the formal rule.

The chapter vocabulary is fixed before the procedures are applied.

Special journal. a journal used for only one kind of repeated transaction, such as credit purchases

Special journal names one specific idea needed here.

General journal. the journal used for transactions that no special journal covers

General journal names one specific idea needed here.

Invoice. a document sent by a seller stating the goods or services supplied and the amount due

Invoice names one specific idea needed here.

Purchases journal. the special journal for goods bought on credit

Purchases journal names one specific idea needed here.

Sales journal. the special journal for goods sold on credit

Sales journal names one specific idea needed here.

Cash receipts journal. the special journal for all money received

Cash receipts journal names one specific idea needed here.

Cash disbursements journal. the special journal for all money paid out

Cash disbursements journal names one specific idea needed here.

Cash book. a book that records the receipts and payments passing through the firm's bank account

Cash book names one specific idea needed here.

Repeated transactions and the time they waste starts with a concrete question.

Suppose a reader has the records described in this chapter but must decide what they mean. The difficulty is not arithmetic alone. A useful accounting record depends on classification, timing, evidence, and a method that another person can follow. Special Journals and the Cash Book addresses that difficulty by moving from a concrete situation to a rule and then back to the situation.

12.1 WHY SPECIAL JOURNALS EXIST

These terms give the chapter a stable language. Each definition narrows an accounting idea so that later calculations and classifications do not drift.

The term **Special journal** means a journal used for only one kind of repeated transaction, such as credit purchases. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **General journal** means the journal used for transactions that no special journal covers. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Invoice** means a document sent by a seller stating the goods or services supplied and the amount due. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Purchases journal** means the special journal for goods bought on credit. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Sales journal** means the special journal for goods sold on credit. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Cash receipts journal** means the special journal for all money received. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Cash disbursements journal** means the special journal for all money paid out. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Cash book** means a book that records the receipts and payments passing through the firm's bank account. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In Why Special Journals Exist, we begin with repeated transactions and the time they waste rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

* * *

WORKED CASE

Situation. Meghna and Sons, illustrative. Adjusted balances at 31 January 2022, from the worksheet: Cash Tk 555,000; Accounts Receivable Tk 65,000; Supplies Tk 7,000; Prepaid Rent Tk 24,000; Equipment Tk 150,000; Accumulated Depreciation Tk 1,000 Cr; Accounts Payable Tk 38,000; Wages Payable Tk 9,000; Unearned Revenue Tk 22,000; Owner's Capital Tk 600,000; Owner's Drawings Tk 20,000; Service Revenue Tk 232,000; Wages Expense Tk 49,000; Utilities Expense Tk 8,000; Rent Expense Tk 12,000; Supplies Expense Tk 11,000; Depreciation Expense Tk 1,000. Net income Tk 151,000 (revenue Tk 232,000 less expenses Tk 81,000). Closing capital Tk 731,000 (Tk 600,000 plus Tk 151,000 less Tk 20,000). Total assets Tk 800,000; total liabilities Tk 69,000. Reversing entry for the Tk 9,000 wages accrual is made on 1 February 2022.

Question. Using only the figures and facts given above, identify the relevant items, apply the rule introduced in the body of the chapter, and keep each step tied to a date or amount.

Reasoning. First identify the event or balance. Next classify it using the definitions in this chapter. Then perform the required recording or calculation step. Finally compare the result with the other records that should be affected.

Conclusion. The figures in the case file provide the boundary for the answer. A correct treatment uses those figures without inventing an additional transaction, date, or amount.

Check. Re-read the case line by line. Confirm each amount, date, and classification. If a result cannot be traced to a stated fact or to an explicitly stated rule, it should not be added to the record.

* * *

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

The worked case applies the chapter rules to the documented running case.

The question is how the chapter method changes the way the case is recorded or understood.

The reasoning follows the chapter sequence rather than jumping to the result.

The case result is accepted only when the records agree with the stated facts.

A worked case is checked against the original facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

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Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

SUMMARY

Closing the Books is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

THINK IT THROUGH

- 10.T1 What is the central problem that this chapter method is designed to solve?
- 10.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

A common error is to use a familiar word without checking its accounting meaning.

A further check keeps the rule tied to the facts.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

Repeat the method with the same kind of information but a different amount or date. The purpose is to separate the structure of the rule from the particular numbers in the example. When the structure stays the same, the method should remain stable. When the facts change the classification or timing, the treatment must change for that reason.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

A further check keeps the rule tied to the facts.

SUMMARY

Merchandising Company Accounts and Classified Statements is easiest to remember as a sequence: identify the fact, use the defined term precisely, apply the stated rule, and check the result against the other records. The examples and the worked case show how the method behaves when the setting changes.

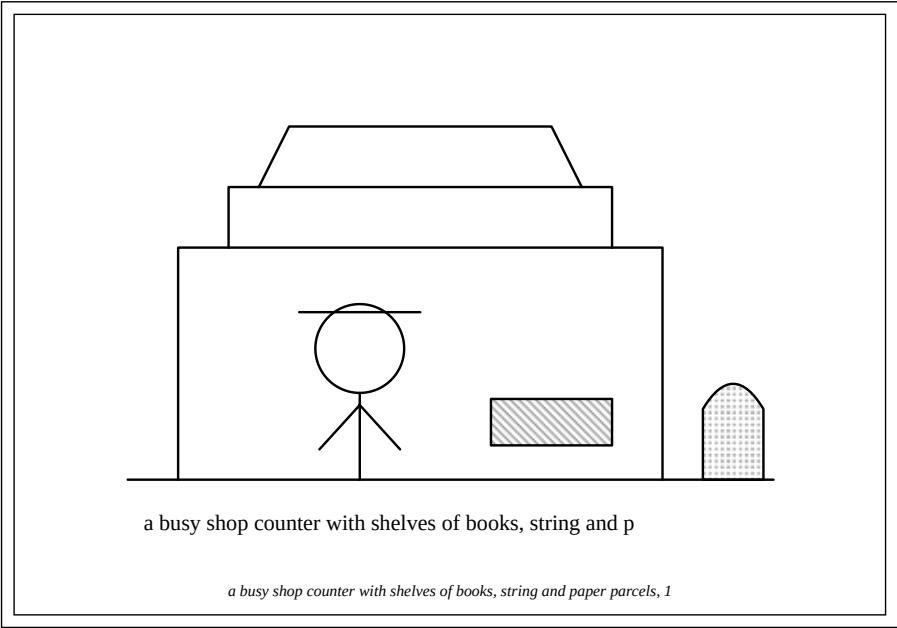
THINK IT THROUGH

- 11.T1 What is the central problem that this chapter method is designed to solve?
- 11.T2 How would the treatment change if one important fact in the case were changed?

WHERE PEOPLE GO WRONG

Correction. Return to the definition, identify the exact item described, and then apply the rule. Another error is to perform a calculation without checking the period or record the number belongs to. Correction. Name the period and record before calculating.

A common error is to use a familiar word without checking its accounting meaning.



CHAPTER XI

Merchandising Company Accounts and Classified Statements

What must be made visible before the next step can be trusted?



This chapter builds one accounting idea at a time, from a practical problem to a rule and a checked application.

The figure shows the same relationship in a compact visual form.

Current and non-current assets and liabilities starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Why the grouping helps a lender starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

	_____	_____	
	_____	_____	
	_____	_____	
	_____	_____	

a classified balance sheet with current and non-current

FIG. 11.3. a classified balance sheet with current and non-current groups

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

11.4 THE CLASSIFIED BALANCE SHEET

In The Classified Balance Sheet, we begin with current and non-current assets and liabilities rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

In The Classified Balance Sheet, we begin with why the grouping helps a lender rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The term **Period cost** means a cost of running the business that is charged to the period in which it occurs. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Operating expense** means a cost of running the business apart from the cost of goods sold. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Classified income statement** means an income statement that groups items into sections such as sales, cost of goods sold and operating expenses. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Current asset** means an asset expected to be turned into cash or used within one year. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Non-current asset** means an asset the firm expects to use for longer than one year. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Current liability** means a debt due for payment within one year. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Non-current liability** means a debt not due for payment until after one year. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

The term **Classified balance sheet** means a balance sheet that groups assets and liabilities into current and non-current sections. A tiny example is to take one event or balance from the chapter and ask whether it meets every part of the definition. If it does, use the term; if it does not, use a more accurate description.

In Buying and Selling Goods, we begin with purchases, sales, returns and freight rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

Period cost. a cost of running the business that is charged to the period in which it occurs

Period cost names one specific idea needed here.

Operating expense. a cost of running the business apart from the cost of goods sold

Operating expense names one specific idea needed here.

Classified income statement. an income statement that groups items into sections such as sales, cost of goods sold and operating expenses

Classified income statement names one specific idea needed here.

Current asset. an asset expected to be turned into cash or used within one year

Current asset names one specific idea needed here.

Non-current asset. an asset the firm expects to use for longer than one year

Non-current asset names one specific idea needed here.

Current liability. a debt due for payment within one year

Current liability names one specific idea needed here.

Non-current liability. a debt not due for payment until after one year

Non-current liability names one specific idea needed here.

Classified balance sheet. a balance sheet that groups assets and liabilities into current and non-current sections

Classified balance sheet names one specific idea needed here.

Purchases, sales, returns and freight starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

Cost of goods sold and gross profit starts with a concrete question.

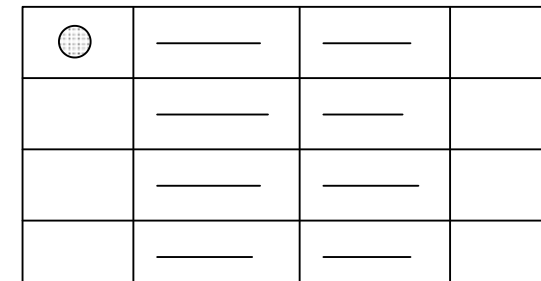
The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.

In Buying and Selling Goods, we begin with cost of goods sold and gross profit rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.



goods flowing from supplier to shop to customer with th

FIG. 11.1. goods flowing from supplier to shop to customer with the account for each step

Read the labels and positions first. The picture is not a substitute for the rule; it is a second representation of the same relationship.

* * *

11.2 PRODUCT COSTS AND PERIOD COSTS

In Product Costs and Period Costs, we begin with product costs versus period costs rather than a list of rules. The first task is to identify the item or event being described and to separate it from nearby ideas that may look similar. This matters because accounting records are useful only when the same fact is classified in the same way each time.

Once that question is answered, state the procedure in ordinary language. Identify the relevant fact, place it in the appropriate part of the accounting system, and check whether the resulting information agrees with the other records affected by the same event. The check is part of the method.

Change the amount, date, or setting without changing the underlying principle. If the structure stays the same, the method should remain stable. If the facts change the classification or timing, the treatment should change for that reason. This is how a definition becomes a working accounting idea.

The figure shows the same relationship in a compact visual form.

Product costs versus period costs starts with a concrete question.

The procedure keeps the idea tied to the facts.

A changed situation tests whether the rule has been understood.